

Service providers will suffer as the demand for complex mobile platforms decrease and content shifts toward WLAN distribution. Their opportunity lies in picking successful independent portals to serve or, of course, becoming the backend to dominant mobile-device manufacturing services. Profitability will be limited by competition in a segment with fairly low barriers to entry. Very successful service providers will be absorbed by device manufacturers. Publishers, Content Providers and Developers: The rise of the device (instead of the network) will not hurt publishers, content providers or application developers as long as they can provide entertainment packages that consumers demand. The opportunities for this group lie in building content portfolios and leveraging the advanced device features for a compelling entertainment experience.

As this client-focused environment will be more familiar to content developers than would the network-centric model in the previous scenario, there will be less transition anxiety, less innovation, but more opportunity to leverage existing content. If device manufacturers become too strong, companies in these segments of the value chain may be forced to accept any deal terms to reach the mobile entertainment consumer.

Supporting Evidence

Recent developments that support this scenario include:

- m **Device Convergence:** Nokia's N-Gage (with content from top videogame publishers) as well as PDA/phone combinations point toward more functional mobile devices.
- m **Consumers Play Offline:** A recent study on mobile entertainment usage shows that 75 per cent of mobile gamers prefer to play at home, on the weekends, between 5 p.m. and 10 p.m.⁴
- m **Manufacturer Portals:** Nokia and Siemens offer comprehensive content on their portals. Other manufacturers (Samsung, Kyocera) emulate them.
- m **Manufacturer Retail Stores:** Nokia recently announced its entry into direct retailing to consumers.

Content Producers Dominate

Content or brand owners and publishers dominate the value chain